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Asia Trip Feedback: Renewed Interest in the Banking Sector

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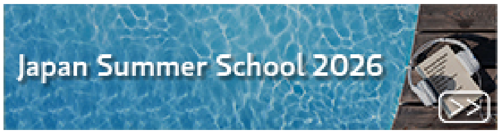


Fiscal concerns, coupled with higher rates and a weaker yen, are likely to fuel expectations for further BOJ tightening. Asian investors increasingly favor banks not only as beneficiaries of higher rates, but also as a hedge against AI-related equities.

Key Takeaways

- From July 6 to 10, we met with Asian investors together with Principal Global Economist Chiwoong Lee. Investor discussions centered on the following four questions:
- How long will the narrow market, polarized between AI and non-AI stocks, persist?
- What are the potential downside risks to memflation (surging memory prices)?
- How should investors think about the risk of FX intervention and its implications for Japanese equities?
- Will concerns over Japan's fiscal discipline begin to ease?

Asia Trip Feedback

Investor Perspectives on the Sustainability of the AI Rally, Memflation, Yen Weakness, and Fiscal Discipline

Sho Nakazawa

From July 6 to 10, together with Principal Global Economist Chiwoong Lee, we visited Asian institutional investors in Singapore and Hong Kong. Questions directed to the strategist (Sho Nakazawa) largely centered on the following four topics.

1) How long will the narrow market, polarized between AI and non-AI stocks, persist?
2) What are the potential downside risks to memflation (surging memory prices)?
3) How should investors think about the risk of FX intervention and its implications for Japanese equities?
4) Will concerns over Japan's fiscal discipline begin to ease?

1 How Long Will the Narrow Market, Polarized Between AI and Non-AI Stocks, Persist?

Investors repeatedly asked how long the simplified, highly polarized market centered on "AI versus non-AI" could continue, as AI-related stocks have experienced repeated cycles of price corrections and short covering.

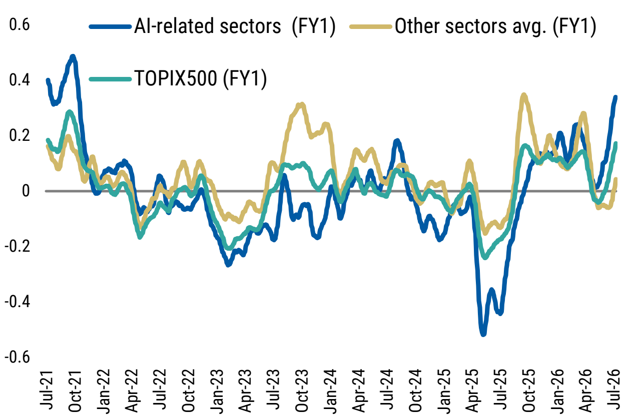
Underlying these questions is the view that earnings revisions for AI-related companies have reached historically elevated levels and may be approaching a peak. Over the past several years, AI-related equities have tended to see valuation multiples expand in tandem with successive upward revisions to corporate guidance. Going forward, the key question will be whether capex plans and earnings guidance from US hyperscalers and Asian AI-related companies can continue to exceed market expectations.

This will not only determine the sustainability of the AI rally itself but will also serve as a key test of whether market leadership can broaden, including through a rotation into domestic demand-oriented sectors.

Many investors argued that the hurdle for AI-related companies to outperform consensus expectations has already risen substantially, reducing the risk-reward profile of these stocks. Several investors also pointed to the weaker-than-before share price reaction to positive AI-related headlines, such as Meta's significant increase in planned capital expenditures.

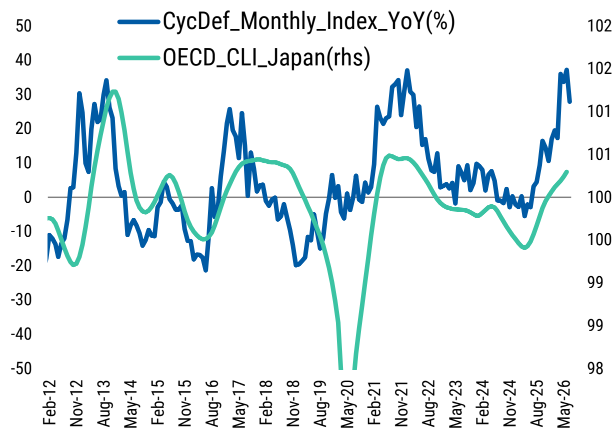
Against this backdrop, sectors and stocks with relatively lower beta and volatility—including gaming and content/IP-related companies, system integrators, medical devices, food producers, and retailers, which have lagged the market—may become increasingly attractive. Indeed, several investors expressed interest in a selective rotation into these areas.

Exhibit 1: Earnings Revision Index for AI-Related Sectors



Note: AI-related sectors are defined as Machinery, Steel & Nonferrous Metals, Electrical Equipment & Precision Instruments, and Materials & Chemicals under the TSE17 classification. Source: Bloomberg, Morgan Stanley Research

Exhibit 2: Japan Cyclical Defensive Index



Source: Haver, Bloomberg, Morgan Stanley Research

2 What Are the Potential Downside Risks to Memflation?

Many investors focused on factors that could partially ease upward pressure on memory prices, including the rise of Chinese memory manufacturers such as CXMT and YMTC, Apple's lobbying efforts with the US government regarding the adoption of Chinese memory, and the emergence of intermediaries such as Miyakoshi Holdings that connect Chinese and Japanese companies.

The emergence of such intermediaries has two positive implications. First, it could signal an easing of supply-demand tightness in AI and data center memory. Second, it expands sourcing options for Japanese companies.

Greater access to Chinese-made memory and general-purpose semiconductors could strengthen the pricing power of Japanese companies in negotiations with existing suppliers. Going forward, investors will be watching which Japanese companies begin adopting Chinese memory products and to what extent this contributes to lower procurement costs and improved profitability.

3 FX Intervention Risk and Implications for Japanese Equities

The view that the Japanese yen is structurally biased toward weakness was widely shared among investors.

Unlike in the summer of 2024, the Japan-US interest rate differential has recently widened. In addition, with respect to the "Japanese DOGE" spending reform initiative that we have highlighted for some time, ministries' self-assessments resulted in only one proposal to abolish an existing special tax measure. As a result, the negative risk premium embedded in the yen appears unlikely to dissipate anytime soon.

In addition, Japan's accumulated digital trade deficit continues to exert depreciation pressure on the yen. This largely reflects payments to US hyperscalers and IT companies for cloud services and software downloads.

Against the backdrop of these structural drivers of yen weakness, many investors viewed the impact of FX intervention as likely to be limited and temporary. Some also argued that, given the balance between companies' ability to pass through higher costs arising from yen depreciation and consumers' purchasing power, B2C sectors are likely to face greater challenges in expanding margins than B2B sectors.

4 Fiscal Discipline and Concerns That the BOJ Is Behind the Curve

Investor interest in the banking sector was high. From a top-down perspective, we continue to be equal-weight on the sector.

Market pricing of the terminal policy rate, which has historically shown a strong correlation with the bank stock index, has already risen to around 2%. Accordingly, we believe there is limited scope for a significant further upward revision in the terminal rate over the medium to long term.

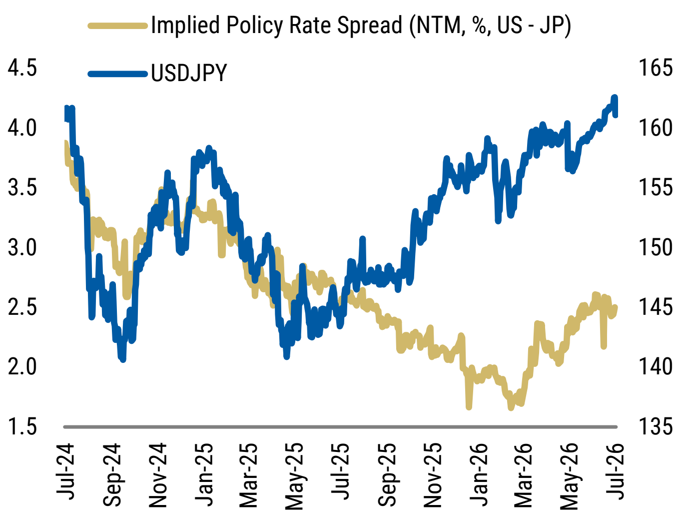
That said, the near-term outlook could differ. If investor concerns over Japan's fiscal position intensify further and USD/JPY continues to rise, the BOJ could come under pressure to accelerate the pace of rate hikes, leading to further upward repricing of the terminal rate.

It may take considerable time before the "Japanese DOGE" initiative that we have long highlighted becomes an effective policy tool. Until then, the fiscal risk premium is unlikely to fade easily, leaving upward pressure on JGB yield curve steepening.

If fiscal concerns steepen the JGB yield curve while USD/JPY continues to rise, investors are likely to increasingly conclude that the BOJ is behind the curve. This would strengthen market pressure for additional rate hikes, supporting higher terminal rate pricing and, in turn, bank stocks.

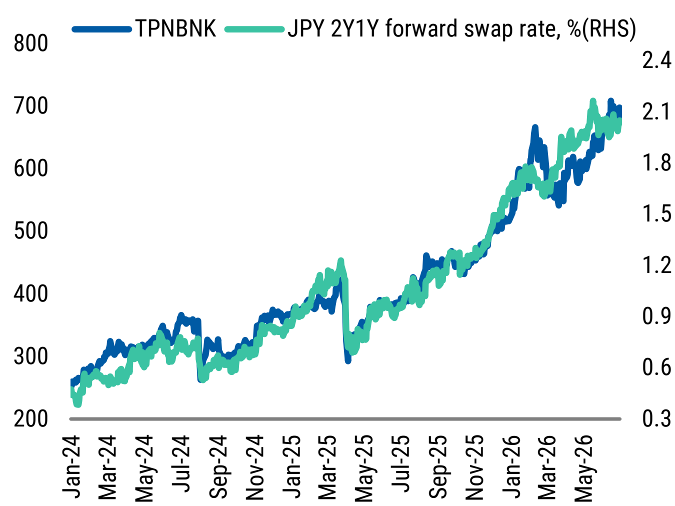
From this perspective, many investors also viewed the banking sector favorably as a short-term hedge against AI-related equities.

Exhibit 3: Market-Implied 12-Month Forward Japan-US Interest Rate Differential and USD/JPY



Source: Bloomberg, Morgan Stanley Research

Exhibit 4: JPY OIS 2Y1Y Forward Rate and TOPIX Banks Index



Source: Bloomberg, Morgan Stanley Research

Key Questions for the Economist (Chiwoong Lee)

Chiwoong Lee

In our recent meetings with overseas investors, questions directed to economists focused primarily on four areas:

1. **USD/JPY Outlook and FX Intervention Risk**
2. **Bank of Japan Monetary Policy Path and Terminal Rate**
3. **What is our view on the Fed's next policy action, and under what conditions could rate hikes return to the table?**
4. **How is China's economy evolving amid continued growth deceleration, and what policy tools does the government have available?**

Theme 1: USD/JPY Outlook and FX Intervention Risk

Q1: With USD/JPY trading near 160, how should investors think about FX intervention risk and the impact of sustained yen weakness on the economy?

A1: Our strategists view USD/JPY as trading close to fair value (approximately 160), and our base case is for the pair to remain range-bound in the 160s throughout 3Q26, until markets begin to clearly price in a Fed rate cut path in 2027 as tariff- and oil-led inflation decelerates. A significant shift toward yen strength is unlikely until Fed rate cut expectations for 2027 become clearly priced into markets.

The recent yen weakness has been driven primarily by broad USD strength — rising US real rates and a hawkish Fed — rather than speculative yen selling. The current USD/JPY level looks close to fair value, supported by Fed pricing, risk sentiment, and terms of trade. Intervention risk is elevated but is not our base case in the near term. Realistic triggers would include a sharp, speculative-JPY-selling-driven surge, a build-up of speculative short positions in the futures market, or the appearance of language such as "speculative," "rapid," or "one-sided" in official communications.

Yen weakness has not fundamentally destabilized Japan's macroeconomy. Nominal GDP grew +5.3% in 2023, +3.0% in 2024, and +4.5% in 2025, well above historical trends. Corporate recurring profits and tax revenues have reached record highs. However, the distributional asymmetry between export-oriented companies and import-dependent SMEs warrants continued attention.

Theme 2: Bank of Japan Monetary Policy Path and Terminal Rate

Q2: What is the latest forecast for the BoJ's rate hike path, and why does it diverge from the terminal rate priced in by markets?

A2: Our Japan economics team, in a report dated July 8, 2026, brought forward its BoJ rate hike forecast. We now expect the next 25bp hike in December 2026 (to 1.25%), followed by a further hike to 1.50% in June 2027. This is a revision from our previous base case of 1.25% in spring 2027. The revision reflects heightened vigilance toward upside inflation risks at the June MPM, and confirmation of a continued tightening bias from the June Tankan released on July 1, 2026.

Our terminal rate forecast of 1.50% is significantly below the market consensus of over 2%. This view is supported by three rationales: (1) uncertainty regarding the persistence of inflation; (2) the risk of a policy transmission lag through variable-rate mortgages; and (3) the turnover of Policy Board members in July 2027, which raises the bar for additional rate hikes.

An October 2026 rate hike remains a risk scenario but is not our base case. Investors should pay close attention if inflation and wage data continue to surprise to the upside.

Theme 3: Fed Policy Outlook and Inflation Dynamics

Q3: What is our view on the Fed's next policy action, and under what conditions could rate hikes return to the table?

A3: Our base case is for the Fed to remain on hold through end-2026, followed by two 25bp rate cuts in 2027. The June FOMC minutes confirmed a data-dependent reaction function without a "regime shift," and if inflation dissipates as we project, the minutes suggest "most participants" would be comfortable keeping the policy rate unchanged this year.

A rate hike scenario is explicitly not zero. If inflation does not dissipate in the near term, "some participants" raised scenarios in which "some policy firming would likely be warranted." 11 We interpret this as the possibility of a "recalibration" of up to 50–75bp, with September being an important focal meeting.

Our inflation outlook supports disinflation in 2H26. Tariff price pass-through is largely complete (approximately 62bp absorbed, with less than 10bp remaining). In our forecast, two of the three drivers of inflation firming — the energy price shock and tariff pass-through to goods prices — begin to abate in 2H26, helping inflation to come down and keeping the Fed on hold this year.

Q4: How is China's economy evolving amid continued growth deceleration, and what policy tools does the government have available?

A4: China's economy is exhibiting a deepening K-shaped bifurcation. Exports and high-end manufacturing remain resilient, while domestic demand continues to worsen — May retail sales fell -0.6% YoY, the first decline since COVID. 2Q26 GDP is tracking at approximately 4.4%, below the government's target of 4.5%. The June manufacturing PMI (50.3) was driven by exports and quarter-end production push, while the construction PMI remained in contraction territory at 49.0.

Our policy assessment is "fine-tuning, not a pivot." As of May 2026, fiscal spending was -1.6% YoY, and approximately 55% of the fiscal and quasi-fiscal budget remained unspent at mid-year, leaving room for up to RMB 2 trillion in fiscal impulse in 2H26 through accelerated execution of already-approved budgets.

Policy focus remains on "Six Networks" infrastructure (power grids, AI computing, water management, next-generation communications, urban underground infrastructure, and logistics), not on consumption or housing stimulus. Structural headwinds — particularly the need for social safety net reform — are unlikely to be addressed in the near term, placing a ceiling on any upside surprise in domestic demand.

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Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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